

Downward Breakouts

Reversal or continuation	Short-term bearish reversal
Performance rank	25 out of 36
Breakeven failure rate	28%
Average drop	14%
Volume trend	Upward
Pullbacks	63%
Percentage meeting price target	40%

Before I began studying this chart pattern, I assumed price would climb away from it, simply because the word *ascending* was in the title. However, I believe the title refers to how the top of the pattern sees price trending upward, bouncing off a flat base.

The pattern is a mid-list performer, based on the rank. Even the breakeven failure rates are mid-list (not shown in the above Results Snapshot). They are within a point of the performance rank. Volume trends upward in the pattern, and I find that unusual when compared to other chart pattern types.

Throwbacks and pullbacks happen about twice in every three trades, so don't be fooled if the stock returns to the breakout price within a week or so.

The percentage meeting the price target, at 67% for upward breakouts, is much higher than the 40% rate for downward breakouts, but that's typical. A downward breakout is fighting against a rising general market, so you'd expect the stock to drown.

Let's take a tour to see what this pattern looks like.

Tour

[Figure 9.1](#) puts the formation in perspective. There are two right-angled broadening patterns shown in the chart. The left one is somewhat ill-formed but better performing than the right. Both chart patterns have a base outlined by a horizontal trendline connecting the minor lows. The up-sloping trendline skirts the tops of the minor highs. The result is a triangle-appearing pattern with prices that broaden out. Both of these patterns have